

STATE OF MINNESOTA
COUNTY OF DAKOTA

DISTRICT COURT
FIRST JUDICIAL DISTRICT

Minnesota Center for Environmental
Advocacy,

Plaintiff,

v.

City of Lakeville and Olam Holdings 1, LLC,

Defendants.

Court File No. 19HA-CV-25-5103

Case Type: Civil – Other/Misc.

**MEMORANDUM IN SUPPORT
OF MOTION FOR
SUMMARY JUDGMENT**

INTRODUCTION

This Court must grant Plaintiff's motion for summary judgment because the City of Lakeville ("City") produced an environmental review document that declined to describe the project it was reviewing, offered an inadequate assessment of the potential environmental impacts of the project, and failed to identify sufficient mitigations for potential impacts.

In December 2024, the City announced it was preparing an Alternative Urban Areawide Review ("AUAR") to study the environmental impacts of a 1.3 million square-foot project. Internal communications show that a data center was under discussion for the site. However, the AUAR did not identify the project as a data center. Nor did it describe a manufacturing site. Or a civic center. Or a laboratory. Instead, the AUAR claimed to cover a "light industrial development" that could be any one of these projects, or dozens of other possibilities.

State law forbids this obscurity. When an AUAR reviews a “large specific project,” such as a 1.3 million square foot industrial development, the rules require a project description “comparable to that of a scoping EAW.” Minn. R. 4410.3610, subp. 5a(B). That description must define the project’s purpose, its physical characteristics, and how it will be constructed. Minn. R. 4410.1200(C). A zoning category like “light industrial” cannot satisfy these requirements.

Because there was no adequate and accurate project description, meaningful environmental review of a potential data center at the Olam property did not occur. The City’s climate analysis assumed 3 megawatts of power when data centers require 100 to 500. Its water, air, noise, light, and cumulative effects analysis deferred study to future “coordination” as “design progresses.” The mitigation plan promised to reduce environmental effects once the City figures out what the effects will be. Across these and other problems, the City’s generic project description left it unequipped to review the impact of a large *specific* project. Nevertheless, the City determined its AUAR was adequate.

MCEA requests that this Court reverse the City’s adequacy determination and remand with instructions to prepare an AUAR grounded in the concrete description of a large specific project.

STATEMENT OF ISSUES

1. Whether the City committed legal error by approving an AUAR for a “large specific project” but describing the project as a generic “light industrial” use?

2. Whether the City's AUAR approval was arbitrary and capricious or lacked substantial evidence where the City failed to study a data center's potential environmental effects on water resources, climate change, air quality, noise and light pollution, and its cumulative potential effects?
3. Whether the City's mitigation plan satisfies the Minnesota Environmental Policy Act's ("MEPA's") requirement that mitigation measures "will be imposed" where the plan defers substantive commitments to future study and contains no enforceable measures addressing water appropriation, noise pollution, or greenhouse gas emissions?

DOCUMENTS COMPRISING THE RECORD

The record is comprised of all pleadings and memoranda filed herein as well as the Administrative Record produced by the City on November 7, 2025.

STATUTORY AND REGULATORY BACKGROUND

The Minnesota Environmental Policy Act ("MEPA") is Minnesota's environmental review law. MEPA – sometimes called Minnesota's "look before you leap" law – requires government decision makers to study the environmental effects of projects before granting their approval. Minn. Stat. § 116D.04, subd. 2a(a).

Environmental review under MEPA takes multiple forms: Environmental Impact Statements ("EIS") are required for all projects that are either deemed by rule, or shown, to have "the potential to cause significant environmental effects." Minn. Stat. § 116D.04, subd. 2a(a). Environmental Assessment Worksheets ("EAWs") are required for those projects that may have the potential for significant environmental effects and are used to determine whether an EIS is required. Minn. Stat. § 116D.04, subd. 1a(c). EAWs are also used to "scope" the issues to be evaluated in an EIS when it is clear that an EIS is already

planned or required. This is referred to as a “scoping EAW.” *See* Minn. R. 4410.2100, subp. 2.

MEPA allows for alternatives that “will address the same issues and utilize similar procedures as an environmental impact statement in a more timely or more efficient manner to be utilized in lieu of an environmental impact statement.” Minn. Stat. § 116D.04, subd.4a. The Environmental Quality Board adopted the AUAR as an alternative to an EIS in 1988. 13 Minn. Reg. 1438 (Dec. 19, 1988).

Cities with qualifying comprehensive plans may use the alternative AUAR process to “review anticipated residential, commercial, warehousing, and light industrial development and associated infrastructure in a particular geographic area within its jurisdiction.” Minn. R. 4410.3610, subp. 1. The AUAR’s environmental assessment must include “a level of analysis comparable to that of an EIS.” *Id.* at subp. 4. As described by the Environmental Quality Board, the state agency charged with overseeing environmental review, the “intent of the AUAR is to recognize the worst-case potential impacts and identify mitigation measures that may be taken to compensate for those impacts.” Admin. R.000276. *See Recommended Content and Format: Alternative Urban Areawide Review Documents*, Minn. Env’t Quality Bd. (Sept. 2008) [hereinafter AUAR Guidance].

In 2009, in response to criticism about the effectiveness of the AUAR process to evaluate environmental impacts when one large project dominates a proposed development, EQB amended the AUAR regulations. EQB determined that single large projects within an AUAR could have “a chilling effect on the analysis of alternative

development scenarios that is a key purpose of the AUAR process.” Complaint ¶ 23. It concluded that “additional public scrutiny is appropriate when a large project dominates an AUAR to ensure that alternative development scenarios are thoroughly analyzed.” *Id.*

As a result, the amended rule contains additional requirements if the proposed development studied in an AUAR includes a “large specific project.” Minn. R. 4410.3610, subp. 5a. The RGU must publish a draft document for public comment that provides what would essentially be the equivalent of a scoping EAW. *See id.* at subp. 5a(B) (requiring project description as set out in Minn. R. 4410.2100, subp. 2). A scoping EAW provides a detailed description of the project itself along with a summary of issues to be addressed, alternatives to be evaluated, potential areas of impact, and necessary studies. *See* Minn. R. 4410.2100; Minn. R. 4410.1200.

STATEMENT OF UNDISPUTED MATERIAL FACTS

I. The City Prepared an AUAR for a Large Specific Project

In late 2024, the City of Lakeville provided public notice of an AUAR¹ for a specific large project called the Olam Lakeville Industrial Development (“Olam Industrial AUAR”) pursuant to Minnesota Rules 4410.3610, subpart 5a. Admin. R.000007. The project proposer behind Olam Industrial is a holding company named Olam Holdings 1, LLC (“Olam”). Admin. R.000015. The public contact for this organization works for Terawatt Infrastructure, Inc. (“TeraWatt”), a company that advertises “backgrounds in

¹ Where this brief refers to the “AUAR,” it is referring to the final AUAR published on June 24, 2025 unless stated otherwise.

real estate development and construction, data centers, clean energy, and mobility.” Admin. R.000015; Admin. R.001673.

As the governmental entity responsible for the Olam Industrial AUAR, the City delegated preparation of the AUAR to an engineering and planning firm called Kimley-Horn and Associates, Inc. (“Kimley Horn”). Admin. R.000012; *see* Minn. R. 4410.1400(A) (environmental review “shall be prepared by the [responsible governmental unit] or its agents”).

Kimley Horn prepared an AUAR that studied two “scenarios” for the Olam Industrial development. Admin. R.000007. Scenario One involved “multiple buildings for a total of 1,360,000 square feet of a proposed light industrial development.” Admin. R.000019. Scenario Two involved “multiple buildings for a total of 1,075,000 square feet of industrial [development] and 285,000 square feet of office space.” *Id.* Both scenarios for the Olam Industrial AUAR would be developed within a 152-acre study area (“Olam Study Area”). *Id.*

The City acknowledged that the Olam Industrial scenarios triggered the AUAR rules for “large specific projects.” Admin. R.000158 (city resolution ordering AUAR). The large specific project rule applies to projects that would otherwise require an EIS or that comprise at least 50 percent of the geographic area under review. Minn. R. 4410.3610, subp. 5a(A). The Olam scenarios meet both thresholds: they exceed the 1,000,000 square foot threshold that would otherwise require them to prepare an EIS. *See* Minn. R. 4410.4400, subp. 11. Additionally, Scenario One covers the entire geographic area under

review, while the industrial development in Scenario Two covers the vast majority of that area. Admin. R.000007; Admin. R.000010-11.

Pursuant to the AUAR rules for large specific projects, the City was required to issue a scoping document containing a “description of the specific large project . . . comparable to that of a scoping EAW.” Minn. R. 4410.3610, subp. 5a(B).

The City’s scoping document contained the following project description:

Olam Holdings is proposing to develop the study area from existing farmland to light industrial or office park uses . . . Scenario 1 includes multiple buildings for a total of 1,360,000 square feet of a proposed light industrial development. Scenario 2 includes multiple buildings for a total of 1,075,000 square feet of industrial and 285,000 square feet of office space. The proposed development within the AUAR study area is anticipated to begin construction in 2025.

Admin. R.000019.

Nothing in the AUAR scoping document or project description identified the type of industrial development Olam Industrial would be. Admin. R.000019; *see generally* Admin. R.000007-64.

II. Hyperscale Data Centers and Their Potential Environmental Effects

Hyperscale data centers are large computing facilities used to power cloud computing, artificial intelligence, and other digital services. Admin. R.001140-58. They are a unique type of infrastructure. Among other potential environmental effects, a single hyperscale data center can demand as much electricity as an entire metropolitan city, draw large quantities of water for cooling, generate air pollution from onsite power

generators, and produce noise pollution from ventilation and computing equipment. *See* Admin. R.001682, 001677-86.

III. The City Anticipated a Potential Data Center Project in the Olam Industrial Study Area

Communications involving city staff and the City's AUAR agent, Kimley Horn, establish that the City anticipated a potential data center on the Olam Holdings property as a data center as early as spring 2024. *See* Declaration of Luke Norquist, January 15, 2026, at Exhibit A-Exhibit D [hereinafter "Ex. A," "Ex. B," "Ex. C," and "Ex. D"].²

On May 2, 2024, a commercial real estate broker inquired about the City's interest in developing a data center at the Olam property. *See* Ex. A. Broker Jon Rausch emailed Tina Goodroad, the City's Community Development Director ("Director"): "How would you feel about a large data center on the Olam Property along hwy 70?" *Id.* The Director responded the same day: "What kind of size and water needs are you thinking about?" *Id.*

The broker followed up with specifics. He asked about development "for larger data center," including whether there was "sewer capacity, water capacity" for "500,000 gallons/day." Ex. A. City staff assessed that Lakeville "should have enough water capacity for this development" and that "[s]ewer capacity would not be an issue." *Id.*

² MCEA has filed a declaration from its counsel of record that includes four documents, labeled Exhibits A through D, that involve email correspondence between City staff and the City's AUAR agent Kimley Horn. Concurrent with its motion for summary judgment, MCEA brings a motion to complete or supplement the administrative record with these documents.

City staff continued discussing a data center at the Olam property in the immediate weeks before publishing the Olam Industrial AUAR scoping document. On November 7, 2024, a realtor from the Obsidian Group emailed the City Director: “My contact with Tera Watt is Julia and I will be talking with her later this afternoon. Do you guys have any data regarding getting a data center to Lakeville?” Ex. B. The Director responded: “Yes, a data center is a permitted use. From a square footage standpoint the environmental review needs to get done.” *Id.* at 5. On November 21, the Director followed up: “How did your call go with the data center??” Ex. B. The realtor responded that it “went well.” *Id.* The Director replied: “That is great news. The AUAR has been kicked off.” *Id.*

Twelve days later, the City published the Olam Industrial AUAR scoping document with a project description focused on developing “light industrial or office park uses.” Admin. R.000005-07.

The back-and-forth between Kimley Horn, which was acting on behalf of the City, and the data center developer continued during preparation of the AUAR. Indeed, Kimley Horn was certain to ensure that the AUAR would meet the needs of the data center developer, offering opportunities for the developer to review the AUAR prior to publication and additional time, if necessary. As an example, on April 14, 2025, Kimley Horn wrote: “Let us know if you have any other questions as you review. It’s looking like we will be able to update the traffic study in time to submit to the EQB Monitor by end of day tomorrow to start the 30 day comment period but if you need more time to review let me know and we’ll wait until next week’s deadline to submit. Thanks!” Ex. D. A

representative from Terawatt—the company associated with project proposer Olam Holdings—emailed back, stating “I don't believe I've heard an update on the wastewater as it relates to the data center . . . Are we all set there?” *Id.* Kimley Horn responded that “the city's system does have capacity to handle the projected flows [of a data center].” *Id.*

IV. DNR Requested a More Specific Project Description

In comments on the AUAR scoping document, the Department of Natural Resources (“DNR”) requested additional specificity on the nature of the project, stating it “would be helpful to further describe the types of industrial uses proposed for the development. For example, data centers have different environmental considerations than manufacturing or warehouse uses.” Admin. R.000244.

The City’s agent, Kimley Horn, proposed an approach to respond to DNR’s comment without actually naming data centers in the project description. Noting that “TeraWatt does not have a specific end user identified,” Kimley Horn suggested to the City Director that “for Scenario 1 we could assume the max build/worst case scenario in terms of water demand (i.e. a typical data center or manufacturing use) and Scenario 2 we could assume a more typical light industrial use like warehousing/office use. That way once an end user is identified, there’s a range in what the AUAR studied.” Ex.C. The City Director agreed. *Id.*

Days later, the project proposer emailed the City’s agent, asking whether Kimley Horn could “foresee any issues with saying we may do a data center that will cause objections to the AUAR?” *Id.* at 2. Kimley Horn replied that the “discussion revolving around data centers in MN is evolving on the daily. . . . For the time being, and to keep

the AUAR process rolling, we believe the below process is our best approach at this time. Luckily, the City's zoning code allows [data centers], so its an immediate positive for us and allows for a little bit of vagueness." *Id.*

The City responded to DNR's request for additional specificity on the nature of the project by noting that "[a]llowable uses given existing zoning of light industrial are included in Section 10. iii." Admin. R.000259. At that section, the AUAR scoping document identifies a nonexclusive list of twenty broadly defined categories of light industrial developments, ranging from manufacturing plants to data centers to breweries:³

- Light Industrial permitted uses include:

 - Automobile repair, minor
 - Building materials sales
 - Commercial printing establishments
 - Compounding, assembly, packaging, treatment, or storage of products and materials except waste
 - Cross dock distribution facility
 - Governmental and public utility buildings and structures; city of Lakeville only
 - Laboratories, research and development facilities
 - Manufacturing
 - Office
 - Outdoor civic events conducted by nonprofit organizations
 - Radio and television stations
 - Servicing of motor freight vehicles and heavy construction equipment
 - Sexually oriented uses
 - Trade schools
 - Transportation terminals

 - Warehousing, including self-storage facilities
 - Wholesale businesses
 - Data centers
 - Breweries and small breweries
 - Distilleries and microdistilleries

³ Admin. R.000203-04.

When the City published the draft AUAR for public comments, it did not amend the project description in its AUAR scoping document.

V. MCEA Commented on the AUAR's Vague Project Description and Failure to Study Data Center Impacts

The City released a draft AUAR on April 22, 2025, that retained the generic project description from its scoping document. Admin. R.000267; Admin. R.000679. In comments submitted on May 21, 2025, MCEA stressed that the AUAR's ambiguous project description prevented the City from fulfilling its obligation to study the "direct, indirect, and cumulative potential effects" of development anticipated in the Olam Industrial study area. Admin. R.001140-58; *see* Minn. R. 4410.3610, subp. 1.

The City issued written responses to MCEA comments in the final version of its AUAR, released on June 24, 2025.

Summaries of MCEA's comments follow:

A. MCEA's Comments on the Project Description

In comments on the draft AUAR, MCEA stated that while the Olam Industrial development's "size, noise impacts, and immense water use suggest this facility could be a hyperscale data center," the AUAR failed "to convey any sense of what the project is." Admin. R.001140-44. By omitting "key operational details about how the project will function," MCEA noted that the City's ambiguous project description "prevents the AUAR from fulfilling its responsibility to analyze this project's environmental impacts." Admin. R.001141.

MCEA requested that the City only proceed with the AUAR if it could offer a “description of the specific large project . . . comparable to that of a scoping EAW,” as required by AUAR rules. Minn. R. 4410.3610, subp. 5a(B)-(C).

The City responded that “[t]he intent of the AUAR is to recognize the max build for potential impacts and identify mitigation measures that may be taken to compensate for those impacts for land use scenarios. It does not evaluate a specific project.” Admin. R.001114.

The City did not amend its project description.

B. MCEA’s Comments on Climate and Energy

Data centers can be a significant source of greenhouse gas emissions due to their continuous, massive demand for power. As of 2025, “Xcel anticipates supplying data centers with 1,300 megawatts in Minnesota and the Dakotas over the next seven years” and “Great River Energy, a Maple Grove-based nonprofit, is planning 1,000 megawatts of new demand in a similar time frame.”⁴ Admin. R.001678, fn. 21. This electricity demand is “roughly equivalent to Minnesota’s 2.3 million households.” *Id.*

Electricity demand from data centers challenges Minnesota’s climate commitments⁵ in two ways. First, so long as Minnesota’s grid relies on fossil-fuel

⁴ MCEA directed the City to a Star Tribune article in public comments on the Draft AUAR. See Admin. R.001678.

⁵ To help protect the public from threats posed by climate change, the Minnesota Legislature passed the Next Generation Energy Act (“NGEA”) in 2007. Minn. Stat. §§ 216H.01-13. The NGEA created a statewide goal for the reduction of greenhouse gases across all sectors. *Id.* In 2023, Minnesota updated these statutory goals to call for reductions of greenhouse gas emissions by fifty percent by 2030 and net-zero emissions by 2050.

generation, large electricity loads generate substantial “Scope Two” greenhouse gas emissions tied to a project’s electricity consumption.⁶ Second, data center developments are so large, and advancing so rapidly, that the projects may delay closure of fossil fuel power plants or even spur construction of new fossil fuel facilities. Already, these trends are being reported in places like Wisconsin, where a “utility wants to build more natural gas generation to help supply data center demand,” and in Louisiana, where a “massive” new data center would “need three new natural gas plants.” *Id.* In Minnesota, the Star Tribune reports that “data centers are already raising concerns about whether they will prolong the burning of fossil fuels for electricity even as Minnesota requires a carbon-free grid by 2040.” *Id.*; see Minn. Stat. § 216B.1691, subd. 2g (2025).

MCEA commented that the AUAR’s climate analysis did not appear to reflect realistic power demands of a large data center campus. Data centers proposals reported in the Star Tribune “are reported to require 100 to 500 megawatts of power.” Admin. R.001678, fn. 21. By contrast, the AUAR’s greenhouse gas calculations estimated that the project “would demand an average power draw of only three megawatts.” Admin. R.001688. Because the AUAR “provides no source for this data, nor does it explain a methodology for estimating these yearly energy requirements,” MCEA asked the City to “provide critical context for how the City is estimating electricity consumption.” Admin. R.001688.

⁶ See *Greenhouse Gas Inventory Guidance: Indirect Emissions from Purchased Electricity Guidance*, U.S. Env’t Prot. Agency (Jan. 2016), https://www.epa.gov/sites/default/files/2016-03/documents/electricityemissions_3_2016.pdf.

The City responded that “[a]n energy evaluation is not covered by the AUAR review. It is up to the utility company to be able to provide adequate electricity for a project.” Admin. R.001123.

The City did not revise its electricity estimate or provide a methodology to explain the low greenhouse gas emissions from electricity consumption.

C. Comments on Water Resources from MCEA, Dakota County, and the Minnesota Department of Health

Hyperscale data centers “can demand enormous amounts of water to cool their servers and other computing hardware.” Admin. R.001149.

The draft AUAR noted that “a wetter type of industrial user” could demand up to 2.5 million gallons of water per day from the Prairie du Chien-Jordan aquifer. Admin. R.001235.

In comments on the Draft AUAR, MCEA asked the City to clarify what “wetter” user it contemplated when estimating that high level of water use. Admin. R.001683-84. Should that user be a data center, MCEA directed the City to examples where data centers are anticipated to have a significant impact on water resources. *Id.* In the City of Farmington, for instance, MCEA explained that “a proposed data center would more than double the city’s current water use . . . at a time when increasing competition for water is posing problems for drinking wells and Minnesota’s streams, lakes, and rivers.” Admin. R.001682; Admin. R.001690. MCEA stressed that the Olam Industrial AUAR must analyze how the project will impact groundwater levels or otherwise cause environmental effects. Admin. R.001683. The draft AUAR “omit[ted] this critical

analysis,” MCEA noted, by failing to evaluate effects of water appropriation at all. Admin. R.001685.

Multiple commenters identified the same concern. The Minnesota Department of Health observed that “potential impacts to the regional aquifers, other users (including nearby non-community public water systems) and natural resources *are not mentioned* within the AUAR.” Admin. R.001660-61 (emphasis added). The agency instructed that “this should be included.” Admin. R.001661. Likewise, Dakota County criticized that the Draft AUAR “does not discuss potential impacts of additional high-capacity pumping and groundwater withdrawal from aquifers.” Admin. R.001658-001659.

The City responded to these comments by noting that “[b]oth scenarios would have an impact on the aquifer. The project proposer will have to coordinate with the city to minimize these impacts.” *See* Admin. R.001634. The City raised that “for Scenario 1 to be developed, a water appropriations permit from the MnDNR would be required.” Admin. R.001634. The City offered that the Olam Industrial project’s “peak demand . . . is only anticipated to occur 1% of the year or less” and asserted that the project would otherwise demand water “for 6 months during the year.” Admin. R.001632.

The City did not explain why the Olam Industrial Project would use up to 2.5 million gallons of water per day, nor how the City could estimate the frequency of that water use. Beyond describing when the project would demand water, the Final AUAR contains no information about how the Olam Industrial development could affect groundwater resources. Admin. R.001632.

D. MCEA's Comments on Air Quality

To generate on-site electrical power, data centers frequently use fracked gas or diesel-powered turbines “which emit nitrogen oxides, particulate matter, carbon monoxide, and other pollutants that are hazardous to human health.” Admin. R.001144. MCEA directed the City to public reporting that data centers “can be tempted to rely on on-site turbines, instead of the grid, when ‘the data processing center’s voracious appetite for energy has outpaced electric utilities’ ability to serve it.” Admin. R.001145. For instance, MCEA noted that thirty-five gas turbines at a Memphis data center “are reportedly emitting more nitrogen oxides than the power plant and oil refinery located next door.” *Id.*

The draft AUAR acknowledged that the light industrial development will require a “significant” number of back-up energy generators. Admin. R.001145. However, it did not analyze those generators’ air pollution, and it stated that “the number, size, and location” of the generators is “unknown.” Admin. R.001239. In comments, MCEA asserted that air emissions are part of the “direct, indirect, and cumulative potential effects” that AUARs are required by law to study. *See id.*

The City responded that it interprets the AUAR rules to allow for later analysis of air emission, not in the AUAR, and it noted that “a separate EAW for back-up generators, if required, has been added to permits and approvals required in Table 6 of the Final AUAR.” Admin. R.001649.

The City did not add information about backup generators or their potential air pollution to the final AUAR.

E. MCEA's Comments on Cumulative Impacts

An AUAR must assess cumulative potential effects, defined as the “incremental effects of a project in addition to other projects in the environmentally relevant area that might reasonably be expected to affect the same resources.” Minn. R. 4410.0200, subp. 11a.

In comments, MCEA requested that if the AUAR study area contemplated a data center, the City should revise its AUAR to assess the cumulative effects of data center development. Admin. R.001685-86. MCEA cited reporting from the Star Tribune that at least ten hyperscale data center proposals were being proposed in Minnesota, many concentrated in the same county as the Olam project. Admin. R.001153, fn. 66. The Star Tribune reports that “these Big Tech projects could consume as much electricity as every home in Minnesota.” *Id.* This “wave of new, intensive developments,” MCEA stated, “will likely strain the regional electricity grid, threatening service reliability, ratepayer costs, and utilities’ ability to achieve state climate energy targets.” Admin. R.001157. MCEA also highlighted that the data centers could “introduce enormous competition for limited water supplies, at a time when increasing competition for water is posing problems for drinking wells and Minnesota’s streams, lakes, and rivers.” *Id.*

The City responded that any future projects “would need to complete separate traffic, water, and environmental analysis to obtain all permits and approvals from the City and other agencies to be individually mitigated to ensure minimal cumulative impacts occur.” Admin. R.001122. For “additional technology park projects in Dakota County,” the City reported that

[It] is expected these would affect the same environmental resources, including water availability, energy use, and wastewater generation. These types of projects would also be required to complete an environmental review and if developed, coordinate with state and local agencies for the applicable permits and approvals, which would have the authority to determine if there were adequate resources available at the time of application. Admin. R.001261.

The final AUAR offered no further assessment of how the Olam Industrial project could, alongside nearby data center proposals, cause cumulative potential effects.

F. MCEA's Comments on Noise and Light Pollution

Homes, farmsteads, a church, and a high school sit within one mile of the proposed Olam Industrial project. Admin. R.001147. Hyperscale data centers have servers and cooling facilities that create a constant “hum” or “screech” that persists day and night and can travel for miles. Admin. R.001146-47. “[L]ong-term exposure to this noise pollution,” MCEA noted in its comments, “can result in hearing loss, stress, insomnia, and a significantly decreased quality of life.” Admin. R.001147.

The AUAR acknowledged that “the main source of noise” from the project would “include computers and ventilation systems within the building, and the use of generators.” *Id.* However, MCEA observed that the City “provides no modeling of how much sound will come from the facility’s graphics chips, cooling systems, or generators.” *Id.* The City responded that “[f]uture development will undergo noise modeling to ensure equipment selected does not contain low-frequency pure tones,” then offered that the project “proposer will evaluate integrating berming, plantings, buffers, and other landscaping measures to reduce noise when the site design advances.” Admin. R.001114.

The City omitted noise modeling or mitigation commitments in the final AUAR.

For light pollution, the draft AUAR reported that “[l]ighting practices will be selected to address known ecological concerns and prevent avoidable impacts to insects, wildlife, rare plants, and adjacent natural areas. Guidance from the USFWS that recommends a lighting system that minimizes uplight and backlight would be adhered to the extent practicable.” Admin. R.001264.

MCEA commented that this analysis included no substantive information “about how the enormous campus will be lit,” even though data center lighting can be “easily seen for miles,” glowing “at night like a giant city of lights.” Admin. R.001148.

The City added no information about lighting the 1,360,000 square-foot campus in its final AUAR.

VI. Approval of the Final AUAR

The City adopted the final Olam Industrial AUAR on July 7, 2025. Admin. R.001168-69. This appeal followed.

ARGUMENT

I. Standard of Review

MEPA incorporates the standards of review set forth in the Minnesota Administrative Procedure Act (“MAPA”). *Minn. Ctr. for Env't Advoc. v. Minn. Pollution Control Agency*, 644 N.W.2d 457, 463-64 (Minn. 2002). Under MAPA, this Court may reverse or modify the City’s AUAR decision if its findings, conclusions, or decisions are, among other factors: (1) affected by an error of law, (2) unsupported by substantial evidence in view of the entire record; or (3) arbitrary and capricious. Minn. Stat. § 14.69.

Whether a generic “light industrial” label satisfies this requirement is a question of regulatory interpretation that the Court reviews de novo, without deference to the agency's position. *Kind Heart Daycare, Inc. v. Comm'r of Human Servs.*, 905 N.W.2d 1, 9 (Minn. 2017). If the regulatory text is “clear and capable of understanding,” this Court must enforce the unambiguous meaning. *St. Otto's Home v. Minn. Dep't of Human Servs.*, 437 N.W.2d 35, 39-40 (Minn. 1989). If ambiguous, the court may examine extrinsic evidence to identify a reasonable interpretation of the regulatory text. See *In re Cities of Annandale & Maple Lake NPDES/SDS Permit Issuance for the Discharge of Treated Wastewater*, 731 N.W.2d 502, 515-16 (Minn. 2007) [hereinafter *In re Cities of Annandale*].

Several issues in this case are reviewed for substantial evidence and arbitrary and capricious decision-making, including: whether the City's climate analysis, which assumed the Olam Industrial project would consume an average electricity demand of three megawatts, was supported by substantial evidence; whether the City entirely failed to consider important aspects of the problem by deferring analysis of water resources, air quality, noise pollution, light pollution, and cumulative environmental effects to future proceedings; and whether the City's mitigation plan satisfied MEPA's requirement that mitigation measures “will be imposed” where the plan defers substantive commitments to future study.

An agency's decision lacks substantial evidence when it has not “adequately explained how it derived its conclusion and whether that conclusion is reasonable on the basis of the record.” *Pfoser v. Harpstead*, 953 N.W.2d 507, 514 (Minn. 2021). If the City provided nothing other than “bare assertions” with no support from evidence such as

data, agency opinions, or studies, its decisions would lack substantial evidence. *Citizens Advocating Responsible Dev. v. Kandiyohi Cnty. Bd. of Comm'rs*, 713 N.W.2d 817, 837-38 (Minn. 2006) [hereinafter *CARD*].

Agency decisions are arbitrary and capricious where the agency: (1) relied on factors not intended by the legislature; (2) entirely failed to consider an important aspect of the problem; (3) offered an explanation that runs counter to the evidence; or (4) made a decision so implausible that it could not be explained as a difference in view or as the result of agency expertise. *Trout Unlimited, Inc. v. Minn. Dep't of Agric.*, 528 N.W.2d 903, 907 (Minn. App. 1995). In applying the arbitrary or capricious standard, courts consider whether “‘a combination of danger signals’ suggests that ‘the agency has not taken a ‘hard look’ at the salient problems and ‘has not genuinely engaged in reasoned decision-making.’” *In re Denial of Contested Case Hearing Requests & Issuance of Nat'l Pollutant Discharge Elimination Sys. / State Disposal Sys. Permit No. MN0071013*, 993 N.W.2d 627, 646-47 (Minn. 2023) [hereinafter *In re Polymet Water Permits*] (quoting *Reserve Mining Co. v. Herbst*, 256 N.W.2d 808, 825 (Minn. 1977)).

II. The City’s Failure to Describe a Large Specific Project in Its AUAR was a Legal Error

The City failed to identify and describe a “large specific project” as required by the plain language of the AUAR rules. *See* Minn. R. 4410.3610, subp. 5a(B) (requiring a “description of the specific large project . . . comparable to that of a scoping EAW.”). Interpretation of regulatory language is a legal question, reviewed de novo. *Kind Heart Daycare, Inc.*, 905 N.W.2d at 9.

The AUAR rules are unambiguous and therefore this Court must apply their plain meaning. *See CARD*, 713 N.W.2d at 827. But even if the rules were ambiguous, the Court must reject the City's interpretation as unreasonable in light of the intent of the rule made clear in the EQB's rulemaking record. *J.D. Donovan, Inc. v. Minn. Dep't of Transp.*, 878 N.W.2d 1, 5-6 (Minn. 2016) (omitting internal citations) (rulemaking record may assist in interpretation of rule language susceptible to multiple interpretations).

A. The AUAR Rules Unambiguously Require Specific Descriptions of Large Specific Projects

The canons of statutory interpretation all support this Court concluding that the AUAR rules plainly required the City to provide an actual description of the specific project it purported to study in its environmental review.

This issue involves the meaning of words in a regulation, which invokes the familiar rules of construction. The first task is to determine whether the large specific project rules are ambiguous, meaning they are "unclear or reasonably susceptible to more than one reasonable interpretation." *In re Cities of Annandale*, 731 N.W.2d at 517. Courts give words their "ordinary and usual meaning," *Williams v. National Contracting Co.*, 199 N.W. 919, 924 (Minn. 1924), and they consider "the meaning assigned to the words or phrases in accordance with the apparent purpose of the regulation as a whole." *In re Cities of Annandale*, 731 N.W.2d at 517. If the regulatory language is "clear and free from all ambiguity," the court shall construe the rule according to the common and approved language, and "the letter of the law shall not be disregarded under the pretext of pursuing the spirit." Minn. Stat. § 645.16.

Here, the AUAR rule's text, cross-reference to scoping EAWs, and the context of surrounding regulatory provisions all confirm a common sense and unambiguous meaning: an AUAR for a large specific project must describe a specific project. By interpreting this requirement to demand only a zoning code designation, the City committed a legal error.

1. The Rules Are Unambiguous Because the Definitions of "Project" and "Specific" Confirm the Need for a Specific Project Description

Minn. R. 4410.3610 subpart 5a(B) calls for the description of a "specific large project." In Minnesota, statutes and rules are construed "according to rules of grammar," and courts give effect to each word and phrase rather than treating them as surplusage. Minn. Stat. § 645.08(1).

A "project," for purposes of MEPA, is "a definite, site-specific action that contemplates on-the-ground environmental changes, including changes in the nature of the use." *Minnesotans for Responsible Recreation v. Minn. Dep't of Nat. Res.*, 651 N.W.2d 533, 540 (Minn. App. 2002). Specific means "of, relating to, or designating a particular or defined thing; explicit." *Specific*, Black's Law Dictionary (7th ed. 1999); see also *Specific*, Merriam-Webster Dictionary (last visited Dec. 24, 2025).

Here, the AUAR's sole description of a specific large project was its reference to "light industrial development" and "office space," which falls far short of describing a specific project. Admin. R.000019. Zoning categories like light industrial do not "designate a particular or defined thing." The description was not "free from ambiguity." If specific large projects could be defined with that level of generality, there would be no

distinction between “specific projects” and any other “project” under MEPA. This reading violates the principle that all words in the regulation have meaning. *See, e.g., State v. Galvan-Contreras*, 980 N.W.2d 578, 585 (Minn. 2022) (rejecting the State’s reading of a felony enhancement for recording “a minor ... knowing ... that the minor is present,” because the State’s interpretation would effectively erase “the minor” from the knowledge clause).

The City’s vague reference to light industrial development fails to describe a specific large project as defined by the “ordinary and usual meaning” of the AUAR rule provision. *Williams*, 199 N.W. at 924. For that reason alone, the City’s description is a legal error.

2. The Rules Are Unambiguous Because the Cross-reference to “Scoping EAWs” Confirms the Need for a Specific Project Description

The AUAR rules do not stop at requiring a description of a “specific large project.” They add an independent textual anchor that this description must be “comparable to that of a scoping EAW pursuant to part 4410.2100, subpart 2.” Minn. R. 4410.3610, subp. 5a(B).

Scoping EAWs, as described in these rules, are used for specific project proposals that require an EIS. Minn. R. 4410.2100, subp. 2. A Scoping EAW includes both a full EAW (the contents of which are described in Minn. R. 4410.1200) and a draft scoping decision. *Id.* Together, these documents help identify “potentially significant issues relevant to the proposed project” undergoing an EIS. Minn. R. 4410.2100, subp. 1. To serve that function, a scoping EAW must describe the “purpose of the project, methods of construction,

quantification of physical characteristics and impacts, project site description, and land use and physical features of the surrounding area.” Minn. R. 4410.1200 (C).

The City’s project description fell far short of this bar. Beyond seeking to “develop the study area,” the City did not meaningfully describe the “purpose of the project” or its “methods of construction.” *Id.* More fundamentally, the AUAR’s generic language about light industrial development failed to communicate what the project *is*. When regulators called for project descriptions “comparable to that of a scoping EAW,” they plainly sought the same clarity required when a project is reviewed using an EAW or EIS. Minn. R. 4410.3610, subp. 5a(B). Zoning codes like “light industrial” do not satisfy this requirement.

3. The Rules Are Unambiguous Because the Context of Surrounding Provisions Confirms the Need for a Specific Project Description

Minnesota courts interpret a rule’s provision “in accordance with the apparent purpose of the regulation as a whole,” as inferred from surrounding provisions. *In re Cities of Annandale*, 731 N.W.2d at 517. Here, the AUAR rules for large specific projects call for a project description, comparable to a scoping EAW, *as part of* the AUAR scoping process where the public may suggest “alternatives to the specific large project or projects proposed to be included in the review.” Minn. R. 4410.3610, subp. 5a(C).

To offer alternatives to the specific large project, the public needs to know what is being proposed. Clear, concrete project descriptions serve that process. An ambiguous categorization of “light industrial” development does not. The City’s ambiguous project description thus contradicts the “apparent purpose of the regulation,” as inferred from

surrounding provisions, to facilitate transparent public discourse about large AUAR projects. *In re Cities of Annandale*, 731 N.W.2d at 517. See *In re Polymet Water Permits*, 993 N.W.2d at 664-66 (holding that rules for “underground waters” unambiguously extend to underground water containment systems, where surrounding regulatory provisions indicated a broad purpose to address industrial containment).

Altogether, the AUAR rules’ plain text, the rules’ cross-reference to scoping EAWs, and the apparent purpose of surrounding provisions, all confirm that when EQB called for a “description of the specific large project” in the AUAR process, the agency meant what it said: the AUAR must describe a specific, tangible project it is reviewing. Minn. R. 4410.3610, subp. 5a(B). The City’s claim that its AUAR need “not evaluate a specific project” contradicts this unambiguous meaning and was a legal error. Admin. R.001114.

B. Extrinsic Evidence Confirms that the City’s Interpretation in Favor of a Vague Zoning Category Instead of a Specific Project Description is Unreasonable

Even if the AUAR regulatory text calling for a “description of the specific large project” were ambiguous, which it is not, this Court should reject the City’s interpretation as unreasonable. Courts may rely on the “rulemaking record,” including a rule’s statements of need and reasonableness (SONARs), to distinguish reasonable versus unreasonable rule interpretations. *J.D. Donovan, Inc.*, 878 N.W.2d at 9-11 (omitting internal citations). Courts may also reject regulatory interpretations that produce absurd results. Minn. Stat. § 645.17(1) (in interpreting laws, “the courts may be guided by the following presumptions... [that] the legislature does not intend a result that is absurd,

impossible of execution, or unreasonable.”); Minn. Stat. § 645.001 (“The provisions of this chapter . . . govern all rules”).

All sources of extrinsic evidence confirm that the City’s interpretation of the large specific project rules is unreasonable and would produce absurd results.

1. The City’s Interpretation is Unreasonable Because Identifying the Generic Zoning Category “Light Industrial” is Contrary to the Intent of the AUAR Rule for Large Specific Projects

EQB adopted the AUAR rule for large specific projects in 2009. Minn. Env’t. Quality Bd., *Statement of Need & Reasonableness*, at 37-39 (Jan. 8, 2009) (codified as amended at Minn. R. 4410.3610, subp. 5a) [hereinafter “2009 SONAR”]. The agency explained its new rule by noting that “[c]ritics have questioned whether the use of the AUAR process for the review of individual projects reduces the quality of the review compared to what would be achieved if the project was reviewed through the regular EAW/EIS process.” 2009 SONAR at 38. When “one large project dominates an AUAR analysis,” EQB determined, “there is a concern that this could have a chilling effect on the analysis of alternative development scenarios that is a key purpose of the AUAR process.” *Id.* EQB concluded that “additional public scrutiny is appropriate when a large project dominates an AUAR.” *Id.*

In short, the AUAR rules at issue were promulgated for the express purpose of ensuring EIS-quality reviews and “additional public scrutiny” for large projects. *Id.* Those purposes are served if an AUAR offers a “description of the specific large projects” that is clear and definite. But the rules would accomplish the opposite effect, of *avoiding* public scrutiny, if project proposers were invited to hide large projects behind zoning labels like

“light industrial development.” *Id.* As “expressed through the rulemaking history,” the City thus offers an unreasonable interpretation of AUAR rules for large specific projects. *Cf. J.D. Donovan, Inc.*, 878 N.W.2d at 11 (rejecting the Department of Transportation’s expansive interpretation of a regulation, to cover off-site deliveries, where the rulemaking history showed the rule was intended to cover only hauling “to and from the construction site.”).

2. The City’s Interpretation is Unreasonable Because EAW Guidance Confirms the Need for Specific Project Descriptions

The City’s unreasonable interpretation favoring generic zoning category also contradicts official EQB guidance. The AUAR rules require a project description “comparable to that of a scoping EAW.” Minn. R. 4410.3610, subp. 5a(B). In official guidance, EQB has confirmed that an EAW-level project description must include a “brief summary” of the proposal, followed by a “complete description” of all “aspects of the project that may directly or indirectly manipulate, alter or impact the physical or natural environment.” *EAW Guidelines: Preparing Environmental Assessment Worksheets*, Minn. Env’t Quality Bd., 11 (Oct. 2013).

EQB’s guidance warns that if “any portion of the project description is vague or incomplete, reviewers may have difficulty understanding the project and may assume certain environmental considerations have been overlooked.” *Id.* The agency emphasizes that the “project description is the most important item in the EAW.” *Id.*

The City’s description of “light industrial development” contradicts this guidance. The Olam Industrial AUAR does not summarize what the project is, let alone offer a

“complete description” of all aspects of the project that may directly or indirectly manipulate the environment. *Id.* Rather, by describing a generic “light industrial development,” the City offered exactly the sort of “vague or incomplete” description that EQB warned against.

3. The City’s Interpretation is Unreasonable Because it would Produce Absurd Outcomes

Courts refuse to interpret ambiguous rules in ways that produce absurd results. Minn. Stat. § 645.17(1) (in interpreting laws, “the courts may be guided by the following presumptions... [that] the legislature does not intend a result that is absurd, impossible of execution, or unreasonable.”); Minn. Stat. § 645.001 (“The provisions of this chapter . . . govern all rules”).

The City’s interpretation of the AUAR rules is unreasonable because it would produce absurd results. If the “description of the specific large project” can be as amorphous as the City proposes, then all variety of developments above that have “the potential for significant environmental effects” could avoid project-specific review by declining to name the project. Minn. Stat. § 116D.04. A data center could be reviewed under the “light industrial” guise. So too a laboratory, a distribution warehouse, or a semiconductor fabrication plant. So long as a project proposer felt “a little bit of vagueness” served their interests, environmental reviews could be done without the public ever needing to know what was being reviewed. Ex.C at 2.

The Court can avoid this unreasonable interpretation by ordering the City to do what EQB plainly intended: prepare an AUAR environmental review grounded in a concrete description of a “large specific project.”

4. The City’s AUAR Demonstrates Its Error by Quoting Directly from Inapplicable, Outdated Guidance

The City’s error is plain on the document it published. Under the heading “Project Description” the City quoted directly from EQB’s 2008 Guidance for preparations of AUARs:

AUAR Guidance: Instead of the information called for on the EAW form, the description section of an AUAR should include the following elements for each major development scenario included:

- *Anticipated types and intensity (density) of residential and commercial/warehouse/light industrial development throughout the AUAR area.*
- *Infrastructure planned to serve development (roads, sewers, water, stormwater system, etc.). . . .*
- *Information about the anticipated staging of various developments, to the extent known . . .*

See Admin. R.000019 (italics in original). The City’s project description follows this exact format. *Id.*

But the Guidance the City used pre-dates and does not address the requirements of Minnesota Rules 4410.3610, subpart 5a, which apply when large specific projects are reviewed. These requirements, including the requirement for a “description of the specific large project” comparable to that supplied in an EAW, were added to the rule in 2009. See 2009 SONAR at 37-39. The City admitted that its AUAR must comply with subpart 5a; its mistake was in relying on guidance that applies not to subpart 5a, but to other more generalized AUARs.

III. The City's AUAR Approval was Arbitrary and Capricious and Lacked Substantial Evidence Because the City Failed to Analyze the Environmental Effects of a Worst-Case Industrial User Such as a Data Center Development

The City's failure to describe a specific project, such as the data center it was discussing with project developers, led to inadequate environmental review. The City acknowledged that the AUAR must study the "max build for potential impacts . . . for land use scenarios." Admin. R.001114. But the "max build for potential impacts" of a large industrial development, like a data center, depends on basic operational details about the project: how water-intensive the cooling technology would be, where it would source its power, how many backup generators it would need, and what noise its equipment would produce. Without committing to or even acknowledging its consideration of a specific project, the City could not answer these questions. And because it could not answer them, it could not conduct the environmental analysis MEPA required.

The AUAR's treatment of environmental effects reflects this bind. Faced with several comments identifying analytical gaps in its environmental analysis, the City responded in two ways. First, it made implausible assumptions, such as by estimating electricity consumption at a fraction of what data centers actually require. Second, it deferred to future process, repeatedly promising that further "evaluation will be completed as design progresses" or that the "project proposer will have to coordinate with the city." Admin. R.001252; Admin. R.001103.

Neither response satisfies MEPA. The City's lowball electricity assumptions produced a climate analysis that was not backed by substantial evidence. And by deferring mandatory components of environmental review, the City ignored key steps of

environmental review that the AUAR rules plainly require. The City's AUAR approval was therefore arbitrary and capricious and lacked substantial evidence, and it should be reversed. *See Trout Unlimited, Inc.*, 528 N.W.2d at 907.

A. The City Anticipated a Potential Data Center in the AUAR Study Area

An AUAR must study the direct, indirect, and cumulative potential effects of “anticipated residential, commercial, warehousing, and light industrial development and associated infrastructure in a particular geographic area” being studied. Minn. R. 4410.3610, subp. 1.

City records show that a data center was an anticipated use, if not *the* anticipated use, for the AUAR study area. Just weeks before the City announced this AUAR, a developer asked the Community Development Director: “Do you guys have any data regarding getting a data center to Lakeville?” Ex.B at 6. The Director responded: “Yes . . . From a square footage standpoint the environmental review needs to get done.” *Id.* at 5. Two weeks later, the Director asked, “How did your call go with the data center??” and, when told it went well, said “[t]hat is great news. The AUAR has been kicked off.” *Id.* at 3-4.

The City continued to contemplate data center development *during* the AUAR process. After receiving a copy of the draft AUAR, a representative of Terawatt—the company associated with project proposer Olam Holdings—asked the City's agent Kimley Horn “I don't believe I've heard an update on the wastewater as it *relates to the data center* . . . Are we all set there?” Ex.D at 1-2 (emphasis added). The Kimley Horn representative responded “[y]es we are. The draft AUAR includes a section on

wastewater demands for both scenarios under Section 12 and the city's system does have capacity to handle the projected flows." *Id.* at 2.

In short, the City anticipated a data center when announcing the Olam Industrial AUAR, and it continued to anticipate a data center while preparing the AUAR. State law thus required the City to study "the direct, indirect, and cumulative potential effects" of a data center development. Minn. R. 4410.3610, subp. 4.

B. The AUAR Climate Analysis is Arbitrary and Capricious and Lacks Substantial Evidence because it Relies on Implausible and Unexplained Electricity Numbers

AUARs are required to quantify greenhouse gas emissions, describe the methodology used to do this quantification, and evaluate how a "project's predicted net lifetime GHG emissions . . . may affect achievement of the Minnesota Next Generation Energy Act goals." Admin. R.001251. As part of this analysis, an AUAR must quantify emissions associated with electricity demand. *Environmental Assessment Worksheet Form*, Minn. Env't Quality Bd., 11-12 (Dec. 2022); Minn. R. 4410.3610, subp. 4 (AUAR's must follow the "content and form" of an EAW). The City must take a "hard look at the salient problems" relevant to its environmental review. *In re Polymet Water Permits*, 993 N.W.2d at 646-47. The City's analysis lacks substantial evidence where it offers bare assertions without supporting data, studies, or explained methodology. *See CARD*, 713 N.W.2d at 837-38.

Here, the City's climate analysis did not take a hard look at the electricity required for hyperscale data centers, nor did it offer substantial evidence to justify the electricity estimates it relied upon. According to Star Tribune reporting, known data center

proposals in Minnesota would require 100 to 500 megawatts. Admin. R.001678, fn. 21. Even the low end of that range is comparable to the entire electricity consumption of the City of Saint Cloud. *Id.*

The City nevertheless based its climate analysis on the assumption the Olam development would require just 3 megawatts of power. Admin. R. 001595.⁷ In comments on the Draft AUAR, MCEA requested “context for how the City is estimating electricity consumption” for its climate math. Admin. R.001688. The City offered no response. Admin. R.001654. The AUAR did not explain how it came to its power estimates. It did not explain why the AUAR assumes less than one twentieth of the power required for one of the 100MW data center projects reported in the Star Tribune, let alone one of the 500MW proposals.

That omission violated the AUAR requirement to “[d]escribe the methods used to quantify emissions.” Admin. R.001248. And it resulted in an inadequate study of the Olam project’s climate impact. Electricity consumption is the driving force behind a data center’s contribution to climate change. By assuming electricity consumption that would be magnitudes lower than what other reported Minnesota data centers would require, the City lowballed the project’s “predicted net lifetime GHG emissions” and erased the need to consider climate mitigations like carbon offsets or renewable energy commitments. Admin. R.001251; Minn. R. 4410.3610, subp. 4.

⁷ The City reports electricity use at 27,472,000 kilowatt hours per year, which the equates to approximately three megawatts-hours of electricity consumption on an average hourly basis.

The City's AUAR decision was based on electricity estimates that lacked substantial evidence. *See CARD*, 713 N.W.2d at 837-38. Because its unexplained electricity estimate is implausibly low, the AUAR failed to take a hard look at a data center's environmental effects and was arbitrary and capricious. *In re Polymet Water Permits*, 993 N.W.2d at 646-47. Under both the substantial evidence and arbitrary and capricious standards, the court should remand the City's AUAR adequacy determination with an order to study the Olam Industrial project's climate impact based on transparent and realistic electric numbers.

C. The AUAR Decision is Arbitrary and Capricious because it Deferred Review of Water Impacts, Air Pollution, Noise Pollution, Light Pollution, and Cumulative Environmental Effects to Future Proceedings

An AUAR must study the "direct, indirect, and cumulative potential effects" of development anticipated in the study area. Minn. R. 4410.3610, subps. 1, 4. As the City acknowledged, "the intent of the AUAR is to recognize the max build for potential impacts and identify mitigation measures that may be taken to compensate for those impacts." Admin. R.001114. The impacts must therefore be studied with "a level of analysis comparable to that of an EIS," the higher tier of environmental review in Minnesota. Minn. R. 4410.3610, subp. 4. *See also* AUAR Guidance at 1 (The "intent of the AUAR is to *recognize the worst-case potential impacts* and identify mitigation measures that may be taken to compensate for those impacts").

Instead of studying the "max build" or "worst-case" potential environmental impacts of a data center development, the City repeatedly noted that basic operational details about the project are "unknown," that the "project proposer will have to

coordinate with the city” to figure them out, and that further “evaluation will be completed as design progresses.” Admin. R.001239; Admin. R.001646; Admin. R.001264. This commitment to study environmental effects later, often with no binding effect, usually in forums that avoid public scrutiny, is no substitute for adhering to the plain requirements of the AUAR rules. By not fulfilling those requirements, the City’s AUAR adequacy decision failed to take a hard look at several salient environmental issues and was arbitrary and capricious. *In re Polymet Water Permits*, 993 N.W.2d at 646-47.

1. Water Resources

The City’s implausible electricity estimates at least attempted quantification, however flawed. For water resources, the City did not even try. It acknowledged massive water demand, then deferred all analysis of environmental effects to future “coordination.” See Admin. R.001646.

As MCEA stressed in comments in the Draft AUAR, “Minnesota’s water resources are increasingly strained by competing residential, commercial, industrial, and agricultural uses, with climate change compounding that strain.” Admin. R.001684. In Lakeville particularly, the City has used up to 98% of its permitted groundwater withdrawals in recent years, Admin. R.001234, and the Minnesota Department of Health warned that “there were impacts to private well users due to the City of Lakeville’s use in the early 2000s.” Admin. R.001634.

State law requires AUARs to describe the “source, quantity, duration, use, and purpose of the water use” at anticipated developments and to “[d]iscuss environmental effects from water appropriation, including an assessment of the water resources

available for appropriation.” *Environmental Assessment Worksheet Form*, Minn. Env’t Quality Bd., 8 (Dec. 2022); Minn. R. 4410.3610, subp. 4.

The City deferred at both steps. First, the AUAR generically reported that up to two and a half million gallons of water of per day would be used, for unknown purposes, by a “wetter type of industrial user,” such as a food processing business. Admin. R.001235.

<u>Scenario 1</u>	
For Scenario 1, a wetter type of industrial user would be anticipated to develop the study area. Wet industrial users can include food processing or other types of manufacturing businesses that use higher amounts of water. To estimate the water demand for these types of industries, water demands of similar types of industries were looked at to provide a range of water demands. For Scenario 1, the end user would work closely with the city to reduce peak water demands through additional storage and reuse methods. Scenario 1 is projected to only use water for 6 months during the year, 2.5 million gallons per day is the peak demand and is only anticipated to occur 1% of the year or less. Generally, Scenario 1 is only anticipated to demand water 10-15% of the year. Water demands for the AUAR Scenarios are shown in Table 10.	
Table 10: Water Demands	
Scenario 1	1.5 MGD to 2.5 MGD
Scenario 2	84,000 GPD

The City plainly failed to identify the “use . . . and purpose of the water use” by a food processing facility or other mysterious “wetter” user. Admin. R.001234-35. *See* Minn. R. 4410.3610, subp. 4.

Based on this ambiguous foundation, the AUAR failed to “[d]iscuss environmental effects from water appropriation.” Admin. R.001234. The City received critical comments from the Minnesota Department of Health, Dakota County and MCEA, each highlighting that the AUAR offered no analysis of the Olam Project’s impact on the regional aquifers. *See* Admin. R.001658-59 (Dakota County noting the AUAR “does not

discuss potential impacts of . . . groundwater withdrawal from aquifers”); Admin. R.001634 (MDH warning that “potential impacts to the regional aquifers, other users . . . and natural resources are not mentioned within the AUAR”); Admin. R.001683-84 (MCEA commenting that the City failed to study any environmental effects from water appropriation).

In response, the City stated that “[b]oth scenarios would have an impact on the aquifer. The project proposer will have to coordinate with the city to minimize these impacts,” then reassured that “[i]f a specific project advances that surpasses the city of Lakeville’s current Water Appropriation Permit, the project proposer will have to prepare detailed projections” and “further study the water system to determine if more improvements to the water system are needed.” Admin. R.001646; Admin. R.001648; Admin. R.001263.

These explanations rest on the essential premise that the City can excuse its existing legal obligations under MEPA by promising to do “further study,” “coordination,” and “detailed projections” in the future. That premise is wrong. MEPA establishes a public facing process for reviewing the environmental impacts of potential developments. As part of that process, the City must “[d]iscuss environmental effects from water appropriation, including an assessment of the water resources available for appropriation,” and it must do so at the “level of analysis comparable to that of an EIS,” the higher tier of review under state law. *Environmental Assessment Worksheet Form*, Minn. Env’t Quality Bd., 8 (Dec. 2022); Minn. R. 4410.3610, subp. 4. The AUAR lacked any such analysis and thus failed to take a hard look at important aspects of the Olam Industrial’s

water use. *In re Polymet Water Permits*, 993 N.W.2d at 646-47. The City's AUAR adequacy determination was therefore arbitrary and capricious.

2. Air Pollution

The City took the same not-yet approach to air quality as it did to water resources. In a "max build" or "worst case" scenario, such as a data center, on-site generators would burn diesel fuel or natural gas, emitting nitrogen oxides, particulate matter, carbon monoxide, and other pollutants hazardous to human health. Admin. R.001144. The AUAR acknowledged that the Olam development will include backup power generators and that Scenario 1 would require "significantly" more of them than Scenario 2. Admin. R.001240. Yet the AUAR went no further. The City offered no estimate of how many generators the facility would need, no identification of what fuels they would burn, no analysis of their potential emissions. And it defended these omissions by stating that "the number, size, and location" of the generators is "unknown," noting that emissions "cannot be calculated until a specific end user has been identified." Admin. R.001239; Admin. R.001114.

This deferral makes no sense. The City *chose* to do an AUAR before an "end user has been identified." Admin. R.001114. MEPA offers no recourse to cite ambiguity *created by the City* as reason to avoid studying the "the worst-case potential impacts" of air pollution from the Olam Industrial project. Admin. R.001189. *See* AUAR Guidance at 1.

The omission is especially glaring because state law prohibits the use of AUARs to study any project that "would generate 250 tons or more per year of any single air pollutant." *See* Minn. R. 4410.3610, subp. 1 (prohibiting AUAR review of projects that

require a mandatory EAW under Minn. R. 4410.4300, subp. 15(A)); Minn. R. 4410.4300, subp. 15(A) (requiring a mandatory EAW for facilities generating 250 tons or more per year of any single air pollutant).

The City's position thus collapses on itself. It cannot study generator emissions, it says, because operational details are unknown. Yet it cannot know whether AUAR review is even available without calculating those emissions first. The City resolved this tension by assuming, without analysis, that the project falls on the permissible side of the threshold. In light of that presumption, the City failed to take a hard look at air pollution from on-site power generators and committed arbitrary and capricious decision-making. *In re Polymet Water Permits*, 993 N.W.2d at 646-47.

3. Noise and Light Pollution

The City's deferral pattern extends to impacts on nearby residents. The AUAR identifies homes, farmsteads, a church, and a high school within one mile of the proposed Olam Industrial development. Admin. R.001252. To study how those residents could be affected by a "worst case" development such as a data center, the City's AUAR needed to address noise and light pollution.

Data centers produce a constant "hum" or "screech" that can travel for miles and last day and night. Admin. R.001146-47. If a project "will include or adjoin major noise sources," then a "noise analysis is needed to determine if any noise levels in excess of standards would occur, and if so, to identify appropriate mitigation measures." Admin. R.001252. The City's AUAR acknowledged that "the main source of noise" from the project would "include computers and ventilation systems within the building, and the

use of generators.” *Id.* Instead of offering the required “noise analysis,” the City promises that “[f]urther noise evaluation will be completed as design progresses,” that “[f]uture development will undergo noise modeling,” and that the project proposer will “evaluate” integrating “berming, plantings, buffers, and other landscaping measures to reduce noise when the site design advances.” *Id.*; Admin. R.001114.

The same strategy, promising “further study” in place of required review, applied to light pollution. Hyperscale data centers can generate substantial light pollution that is “easily seen for miles, glowing at night like a giant city of lights.” Admin. R.001148. EQB instructs that an AUAR should analyze “[a]ny impacts” on scenic views and vistas, including “both direct physical impacts and impacts on visual quality or integrity.” AUAR Guidance at 5. If “any non-routine visual impacts would occur,” they should be discussed “along with appropriate mitigation.” *Id.* Yet, instead of offering any substantive information about how a massive data center project would be lit, the City hedged that “[a]ny development of agricultural land will have an impact on the visual look of a property” and promised that “[g]uidance from the USFWS to minimize blue light, uplight, and backlight will be adhered to the extent practicable.” Admin. R.001246-47.

Across noise and light pollution, the problem is the same. The City failed to describe a specific project and, as a consequence, the AUAR could not model how much noise the project would produce. Likewise, it could not assess how 1.3 million square feet of illuminated industrial development would affect the night sky. Even in the absence of a specific project, however, the City also failed to evaluate a “max build” or “worst case”

scenario that assessed the potential environmental impacts of a hypothetical worst-case user, like a data center. *See* Admin. R.001645. The City simply ignored the analysis MEPA plainly requires. The resulting AUAR decision failed to take a hard look at the project's noise and visual effects and was arbitrary and capricious. *In re Polymet Water Permits*, 993 N.W.2d at 646-47.

4. Cumulative Potential Effects

Each of the above analytical failures related to climate change, water resources, and air, noise, and light pollution, concerns the Olam project in isolation. But MEPA also requires analysis of cumulative effects: how this project, combined with other reasonably foreseeable development, would affect shared environmental resources. Here, too, the City put off the analysis to future proceedings.

An AUAR's "cumulative potential effects" must address the "incremental effects of a project in addition to other projects in the environmentally relevant area that might reasonably be expected to affect the same environmental resources." Minn. R. 4410.0200, subp. 11a; Minn. R. 4410.3610, subp. 4. The purpose of this analysis is to "put the proposed project into context." *CARD*, 713 N.W.2d at 829. Where a single project might not independently cause significant effects, considering cumulative effects ensures that "environmental consequences [do not] vanish[] from the map" simply because they arise incrementally rather than all at once. *Id.* at 831.

In comments on the Draft AUAR, MCEA noted that anticipated data centers in Dakota County, and the surrounding metropolitan region, would compete for the same water, strain the same electrical grid, and burden the same wastewater systems as the

Olam development. Admin. R.001685-86; Admin. R.001690. The AUAR acknowledges that “additional technology park projects in Dakota County” exist, and that these proposals “would affect the same environmental resources, including water availability, energy use, and wastewater generation.” Admin. R.001261.

Instead of studying those impacts or discussing how the Olam Project could minimize its “incremental” contribution, the City simply noted that other technology park projects “would also be required to complete an environmental review.” *Id.* The City further reassured that future projects would be “individually mitigated to ensure minimal cumulative impacts occur.” Admin. R.001122.

This response inverts the logic of cumulative effects analysis. The entire point of a cumulative impacts analysis is to *not* assume that projects can be “individually mitigated” to avoid collective environmental problems. *See, e.g., Pope Cnty. Mothers v. Minn. Pollution Control Agency*, 594 N.W.2d 233, 236-37 (Minn. App. 1999) (RGU must evaluate cumulative environmental effects for a multi-site/segmented project rather than treating impacts site-by-site); *CARD*, 713 N.W.2d at 829 (cumulative-effects review “puts the proposed project into context” so incremental impacts do not “vanish from the map”); 2009 SONAR at 27-28 (EQB revised its regulations to emphasize that individual MEPA reviews “must address cumulative potential effects.”).

This case highlights the risks of ignoring collective environmental challenges. If the Olam Industrial AUAR results in a data center, the project would join a statewide data center rollout that is anticipated to “consume as much electricity as every home in Minnesota.” Admin. R.001154. The *collective* strain this abrupt proliferation could cause,

on the electricity grid, climate goals, and water impacts, is exactly what cumulative effects analysis exists to capture. Minn. R. 4410.0200, subp. 11a. Yet because the City declined to identify a specific project, or assume worst-case impacts consistent with a data center, its AUAR fails to include the potential “incremental effects” development of the Olam site will have in combination with the cumulative impacts from other similar projects. *Id.* The City’s AUAR decision failed to take a hard look at potential cumulative impacts and was arbitrary and capricious. *In re Polymet Water Permits*, 993 N.W.2d at 646-47.

IV. The City’s Mitigation Plan Failed to Specify Enforceable Measures

A natural consequence of the above AUAR failures is that the City could not mitigate what it had not studied. An AUAR must include a plan “specifying the mitigation measures that will be imposed” to address potential environmental impacts. Minn. R. 4410.3610, subp. 5(C). The language is mandatory. But for every impact the City deferred studying, it necessarily deferred mitigation too.

In the EIS context, the Minnesota Supreme Court has held that an RGU “may reasonably” rely on mitigation measures to offset potential environmental effects “only if those measures are specific, targeted, and are certain to be able to mitigate the environmental effects.” *CARD*, 713 N.W.2d at 835. These mitigation measures must go beyond “vague statements of good intentions.” *Id.* at 834. EQB has repeatedly emphasized that mitigation plans are *especially* important for AUARs, explaining that “the plan for mitigation called for is perhaps the key part of the entire substitute review process.” Minn. Env’t. Quality Bd., *Statement of Need & Reasonableness*, at 32 (1988) (codified as amended at Minn. R. 4410.3610, subp. 5). EQB instructs that “[i]t must be

understood that the mitigation plan is a commitment by the [Responsible Governmental Unit] to prevent potentially significant impacts from occurring from specific projects. It is more than just a list of ways to reduce impacts – it must include information about how the mitigation will be applied and assurance that it will.” AUAR Guidance at 6.

By failing to identify the impacts of a specific project, the AUAR’s mitigation measures fell short of offering the required specific mitigation measures. The City committed to installing turn lanes. Admin. R.001265. It prohibited construction between 10:00 PM and 7:00 AM. Admin. R.001264. It referenced compliance with NPDES permit requirements for stormwater. Admin. R.001262. These mitigation ideas addressed routine development impacts that would accompany *any* light industrial project.

But for the environmental effects that distinguish a specific large project, like a hyperscale data center, the plan offered nothing enforceable. Instead, the City again looks to the future by indicating that water impacts will be addressed through appropriation permits: climate impacts will be managed through “potential design strategies and sustainability measures that are under consideration,” and noise will be evaluated “as design progresses.” Admin. R.001264.

Courts reject this protocol. Ongoing regulatory processes can be “an important consideration” in mitigation plans. *Pope Cnty. Mothers*, 594 N.W.2d at 239. However, they cannot be an analytical crutch: the decision-maker “must still consider the extent of the environmental effects likely to result and how those effects could be mitigated.” *Id.*

Here, the City did neither. The City cannot commit to water-saving measures when the purpose and impacts of a project’s high-water appropriation remains

undefined. It cannot identify noise controls when the sources and intensity of noise remain unstudied. It cannot mitigate generator emissions when the “number, size, and location” of the generators is unknown. Admin. R.001239.

The result is a mitigation plan that accomplishes exactly what EQB cautioned against: a highly generic “list of ways to reduce impacts” without “information about how the mitigation will be applied and assurance that it will.” AUAR Guidance at 6. *See* Minn. R. 4410.3610, subp. 5(C) (requiring AUARs to assure “mitigation measures that *will* be imposed.”) (emphasis added). The City failed to take a hard look at how mitigation measures will be imposed on the large project in the AUAR study area. Minn. R. 4410.3610, subp. 5(C); *In re Polymet Water Permits*, 993 N.W.2d at 646-47. Its AUAR decision is therefore arbitrary and capricious.

CONCLUSION

The City of Lakeville conducted environmental review of a 1.3 million square-foot industrial development without identifying what the development would be. The AUAR rules required a description of a specific project “comparable to that of a scoping EAW.” Minn. R. 4410.3610, subp. 5a(B). Instead, the City offered a zoning category that could encompass dozens of fundamentally different projects. Even though internal communications confirm the City anticipated a potential data center, the AUAR’s fundamental ambiguity prevented the City from studying the environmental effects that distinguish a hyperscale data center from ordinary light industrial uses. This approach violates both the letter of MEPA’s AUAR rules and the statute’s core purpose of ensuring

that government decision makers understand environmental consequences before they act, not after.

For these reasons, MCEA requests that this Court reverse the City's AUAR adequacy determination and remand with instructions to prepare an AUAR that describes a specific project, evaluates all of the potential environmental impacts of that project, and offers a plan with measures that are specific, targeted, and are certain to be able to mitigate the environmental effects.

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The above signed hereby acknowledges that sanctions may be awarded pursuant to Minnesota Statutes§ 549.211.